भारतीय प्रतिभूति और विनिमय बोर्ड
Securities and Exchange Board of India



SMART ODR

"*Securities Market Approach for resolution through Online Dispute Resolution*"

Disclaimer

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Flow of Presentation

- Introduction to SMART ODR
- Key Milestone of SMART ODR
- Process Flow Chart of ODR Process
- Difference between the Old and New online dispute resolution (ODR) mechanism in securities market
- SCORES v/s SMART ODR
- Regulated entities against whom ODR may be initiated
- Timeline of ODR
- SMART ODR Process Flow

Introduction to SMART ODR

Establishment

- Market Infrastructure Institutions (MIIs) under guidance of SEBI, have established and developed a common Online Dispute Resolution Portal ('SMART ODR Portal") for resolving disputes between the parties.

Link

- The link for the Online Dispute Resolution Portal is https://smartodr.in/.

Steps

- Step- 1:-The investor/client shall first take up the matter with the Market Participant. If the investor/client is not satisfied with the resolution provided by the Market Participant or no action initiated by the Market participants, then
- Step2:- The investor/client may register the complaint/dispute in SCORES/ SMART ODR Portal.

Note

- It may be noted that in case the investor/client has filed the dispute on SMART ODR Portal, while the complaint is pending on SCORES, then the complaint shall be treated as disposed on SCORES.
- If the investor/client has filed the dispute on SMARTODR Portal, then subsequently, it cannot file the same complaint on SCORES.

Introduction to SMART ODR (Cont.…)

Initiating Dispute Resolution

- Investors/Clients can register their complaint/dispute on the SMART ODR Portal.
- Upon registration, the complaint is assigned to the relevant Market Infrastructure Institution (MII) through the portal.

Pre-Conciliation Process

- The MII aims to resolve the complaint/dispute amicably between the investor/client and the market participant within 21 calendar days from filing.

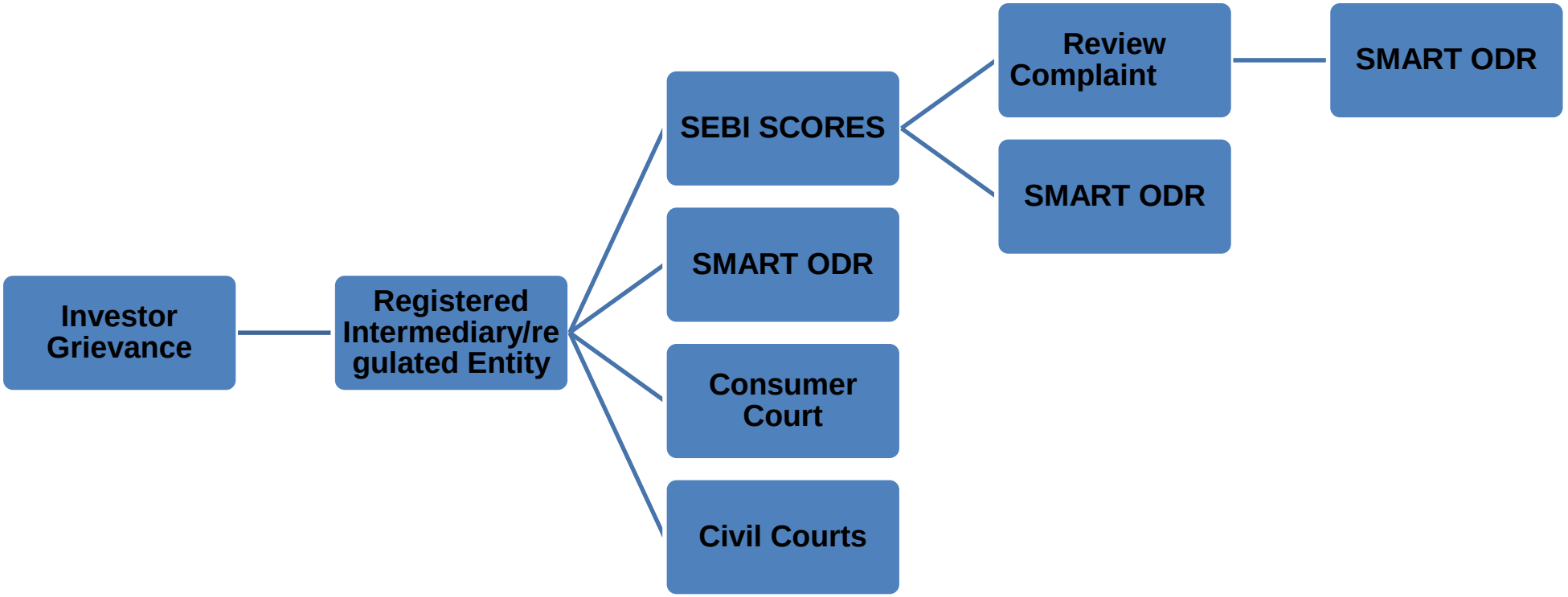
Initiating Conciliation

- If no resolution is reached during the Pre-Conciliation Period, the investor/client can initiate online conciliation through the SMART ODR Portal.
- This involves a neutral third party assisting in reaching an agreement.

Market Participant Initiating Dispute Resolution

- Market participants can also initiate online dispute resolution through the SMART ODR Portal after providing a 15-day notice to the investor/client.
- This applies to unresolved disputes between the investor/client and the market participants.

Process Flow Chart of ODR



Difference between the Old and New online dispute resolution (ODR) mechanism in securities market

Old Mechanism

- For clients of Brokers, DPs and investors in listed companies and their RTAs
- Multi layered: IGRC, arbitration and appellate arbitration
- Exchanges and Depositories had their own panel of conciliators
- Offline (during COVID thru Zoom)

New Mechanism

- For almost all specified securities markets regulated entities
- Three step:-
  - Pre-conciliation
  - Conciliation
  - Arbitration
- MIIs tie up with ODR institutions who maintain a panel of conciliators and arbitrators
- Cases assigned on round robin logic
- Exception Broker/DP on an interim basis
- End to end online process

Regulated entities against whom ODR may be initiated

List of securities market intermediaries / regulated entities against whom investors may invoke the ODR process:

- AIFs –Fund managers
- Banker to an Issue and Self-Certified Syndicate Banks
- CIS –Collective Investment management company
- Commodities Clearing Corporations
- Depository Participants
- Investment Advisors
- InvITs -Investment Manager
- Merchant Bankers
- Mutual Funds –AMCs
- Portfolio Managers
- Registrars and Share Transfer Agents
- REITs –Managers
- Research Analyst
- Stock brokers(including Online Bond Platform & Online Bond platform Providers)
- Listed companies

Regulated entities against whom ODR may be initiated

- Disputes amongst Securities Market regulated entities can be initiated either in SMART ODR

or

Independent Institutional Arbitration

- **List of specified Intermediates and / regulated entities**

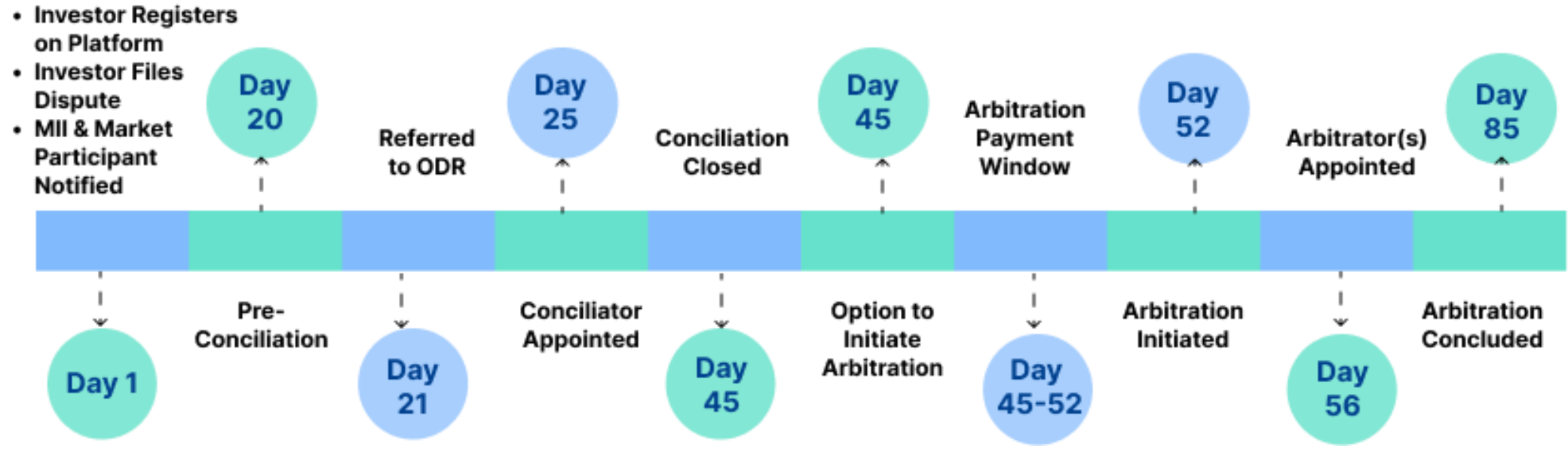
- *Clearing Corporations & their constituents*
- *Commodities Clearing Corporations,*
- *Credit Rating Agency and rating clients*
- *Custodians and their clients/FPIs*
- *Debenture Trustees and issuers*
- *Designated Depository Participant & their clients / FPIs*
- *ESG Ratings Providers and their clients*
- *KYC Registration Agency & their clients / intermediaries*
- *Merchant Banker and issuers*
- *Mutual Funds and Mutual Fund Distributors*
- *Proxy Advisory and their clients*
- *Proxy advisors and listed entities*
- *Registrars and Share Transfer Agents and their clients*
- *Research Analyst and their clients*
- *Stock brokers and their Authorised Persons*
- *Trading Members & Clearing Members*
- *Vault Managers and beneficial owners*

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SCORES v/s SMART ODR

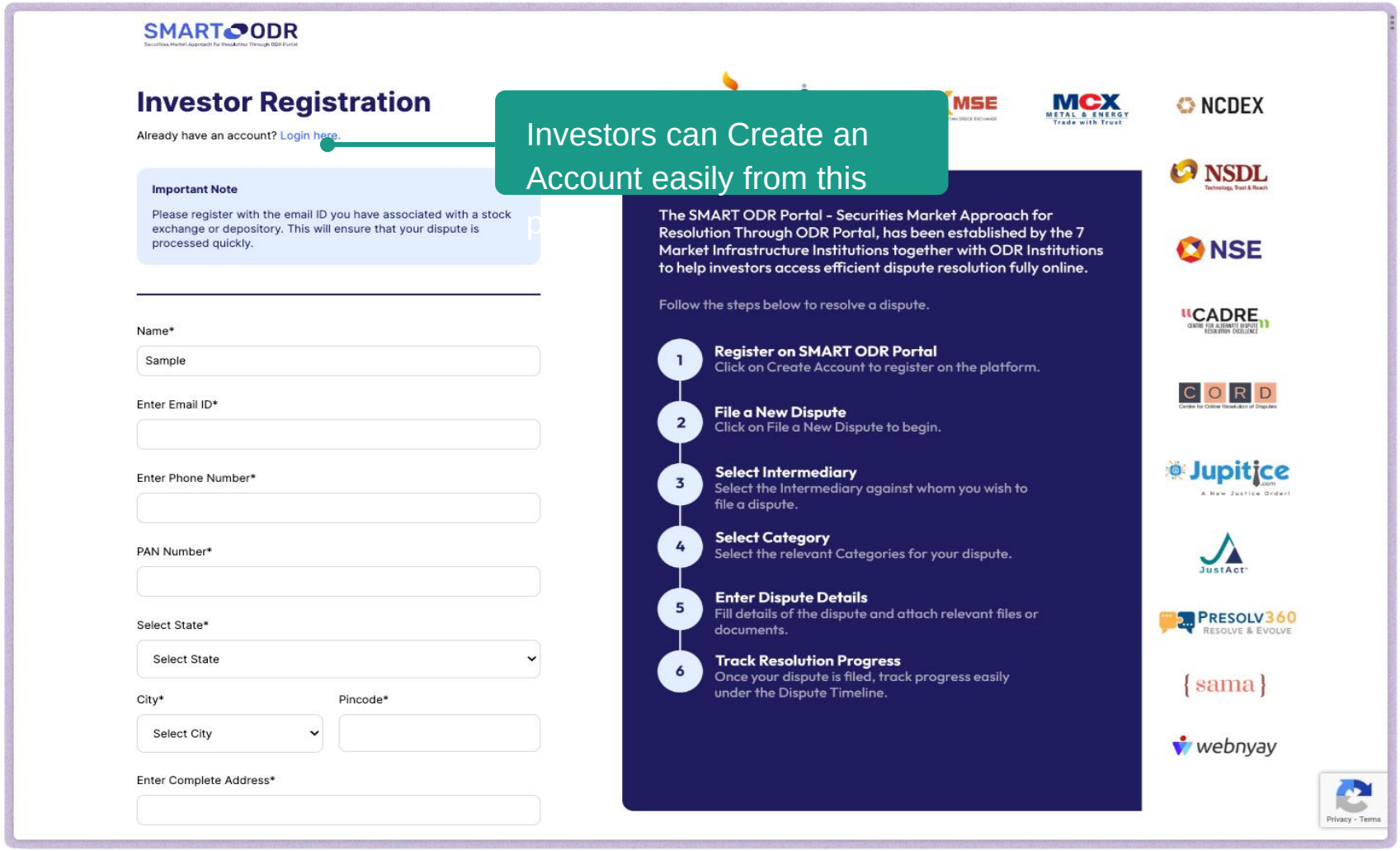
SCORES	SMART ODR
Completely Free for all Market Participants	Free for Investor till Conciliation stage. Fees Payable by investor for initiating arbitration
Any dispute arising between Investor and Market Participant is outside the SCOPE of SCORES	Adjudication of Disputes is within the SCOPE of SMART ODR
Limitation period is 1 year	Limitation period is as per The Arbitration and Conciliation Act i.e. 3 years
No Action can be initiated Against investors	Market Participants can initiate action against investors through SMART ODR by giving 15 days notice

Timeline of ODR

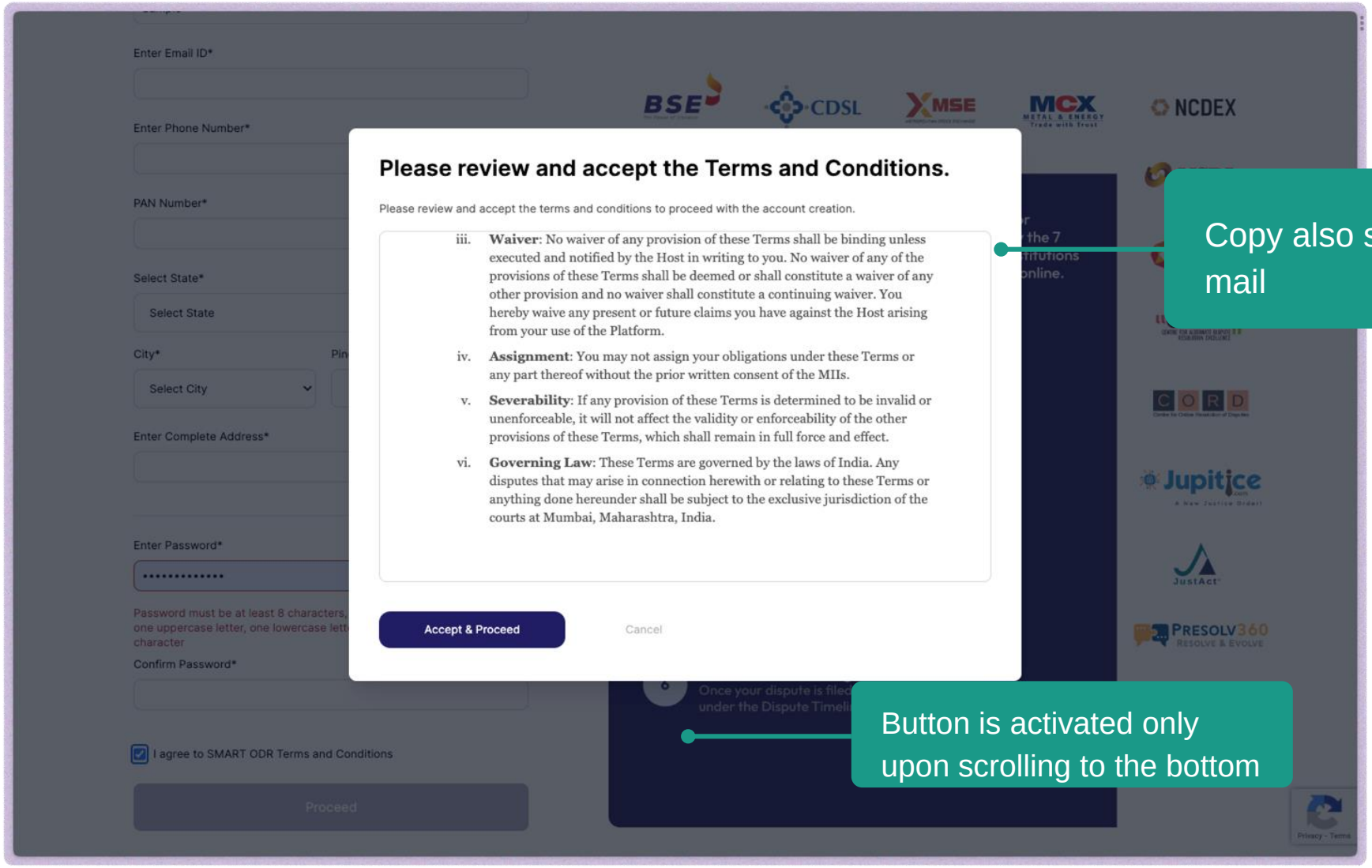


SMART ODR Process Flow

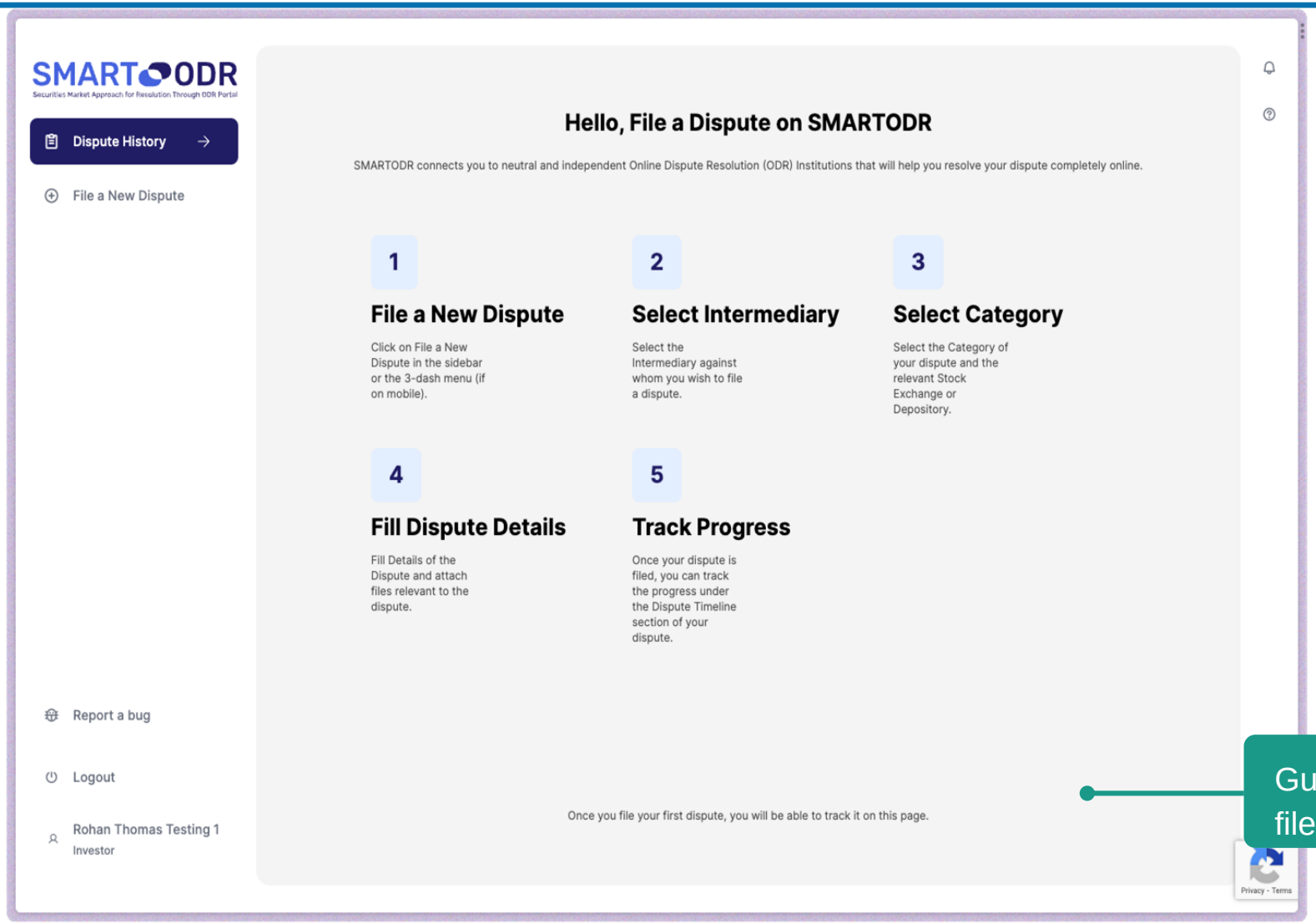
SMART ODR Process Flow



SMART ODR Process Flow

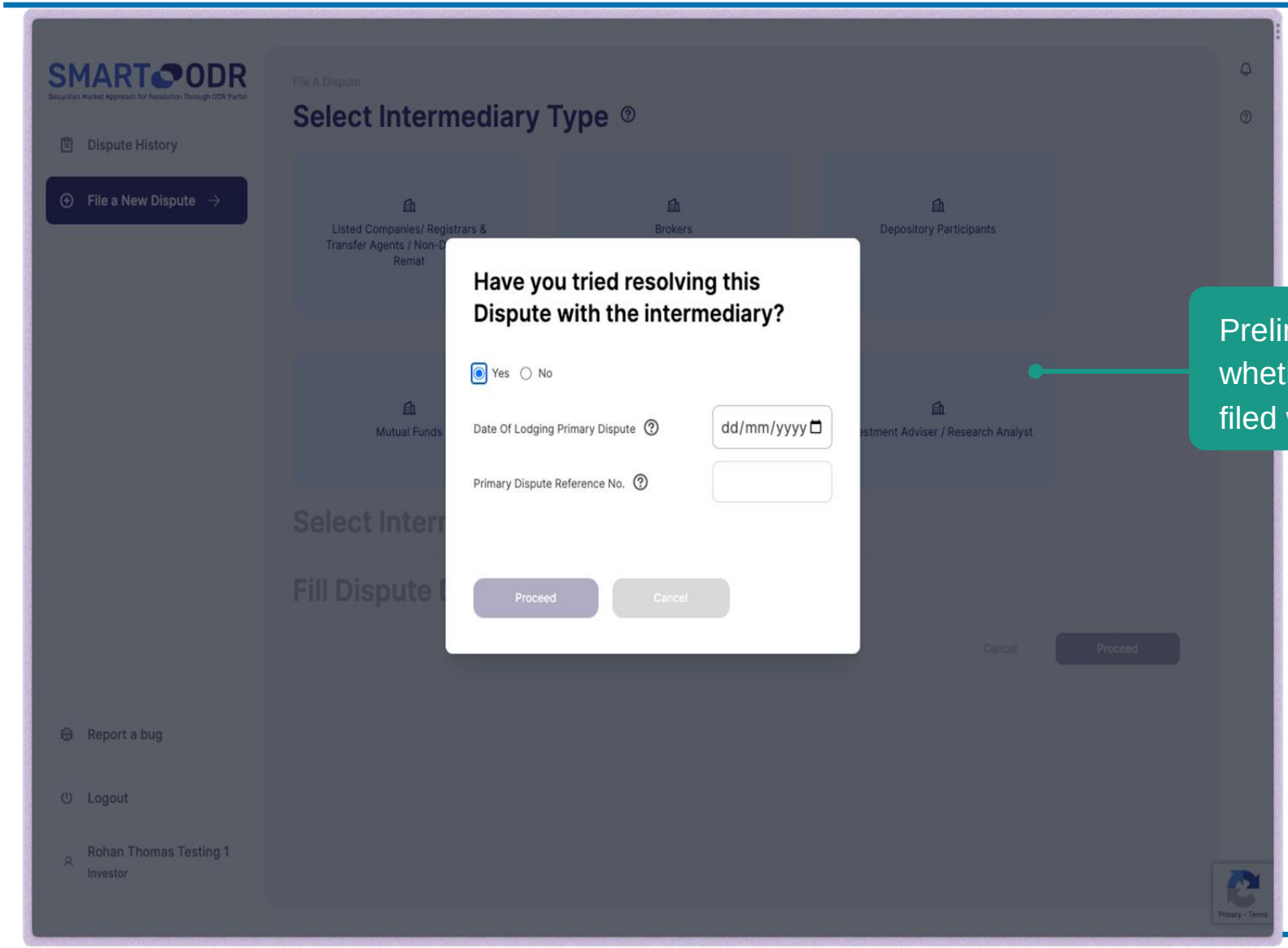


SMART ODR Process Flow



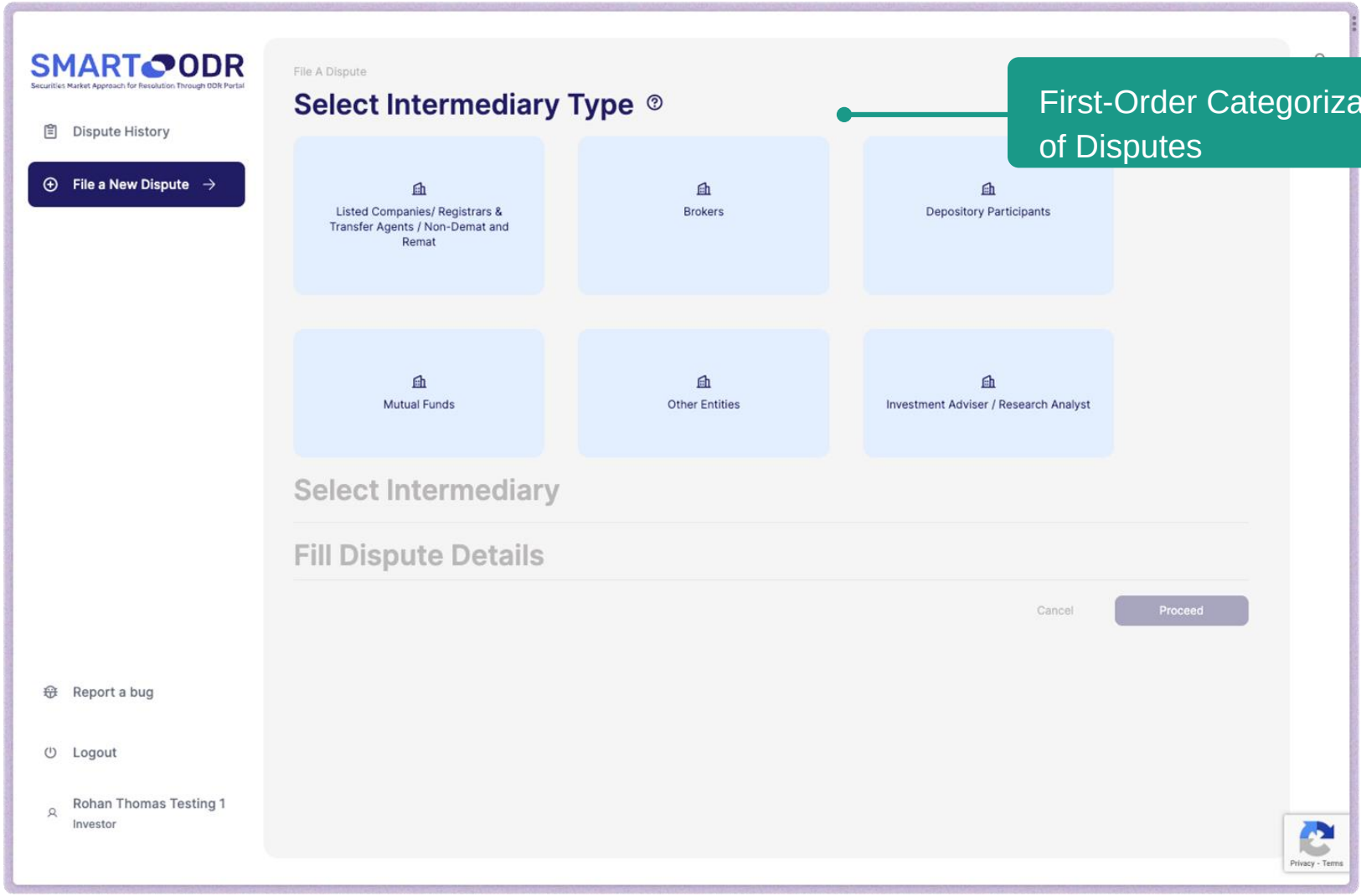
Guide to help investors file their first dispute

SMART ODR Process Flow

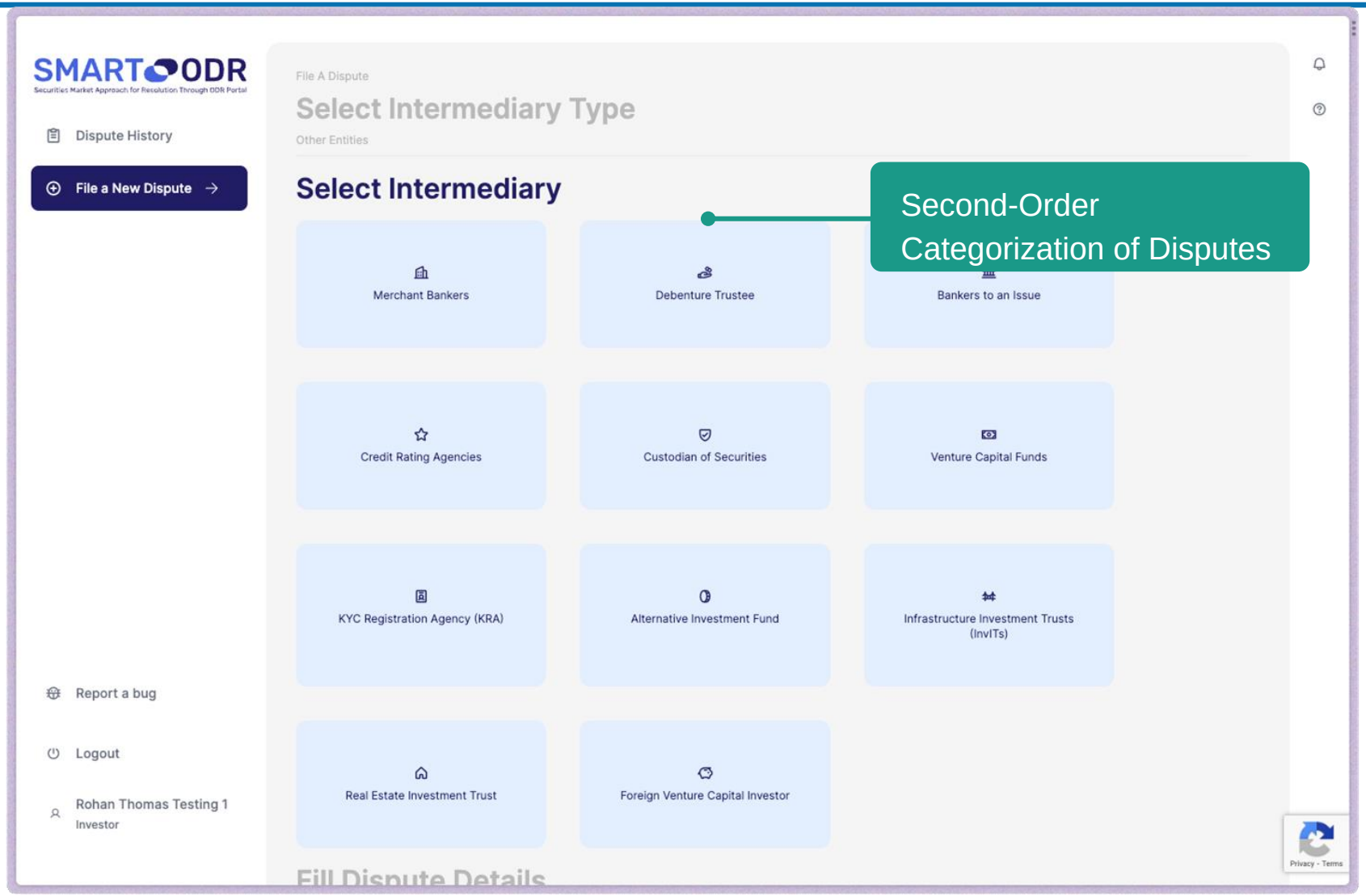


Preliminary Check whether dispute has been filed with MP

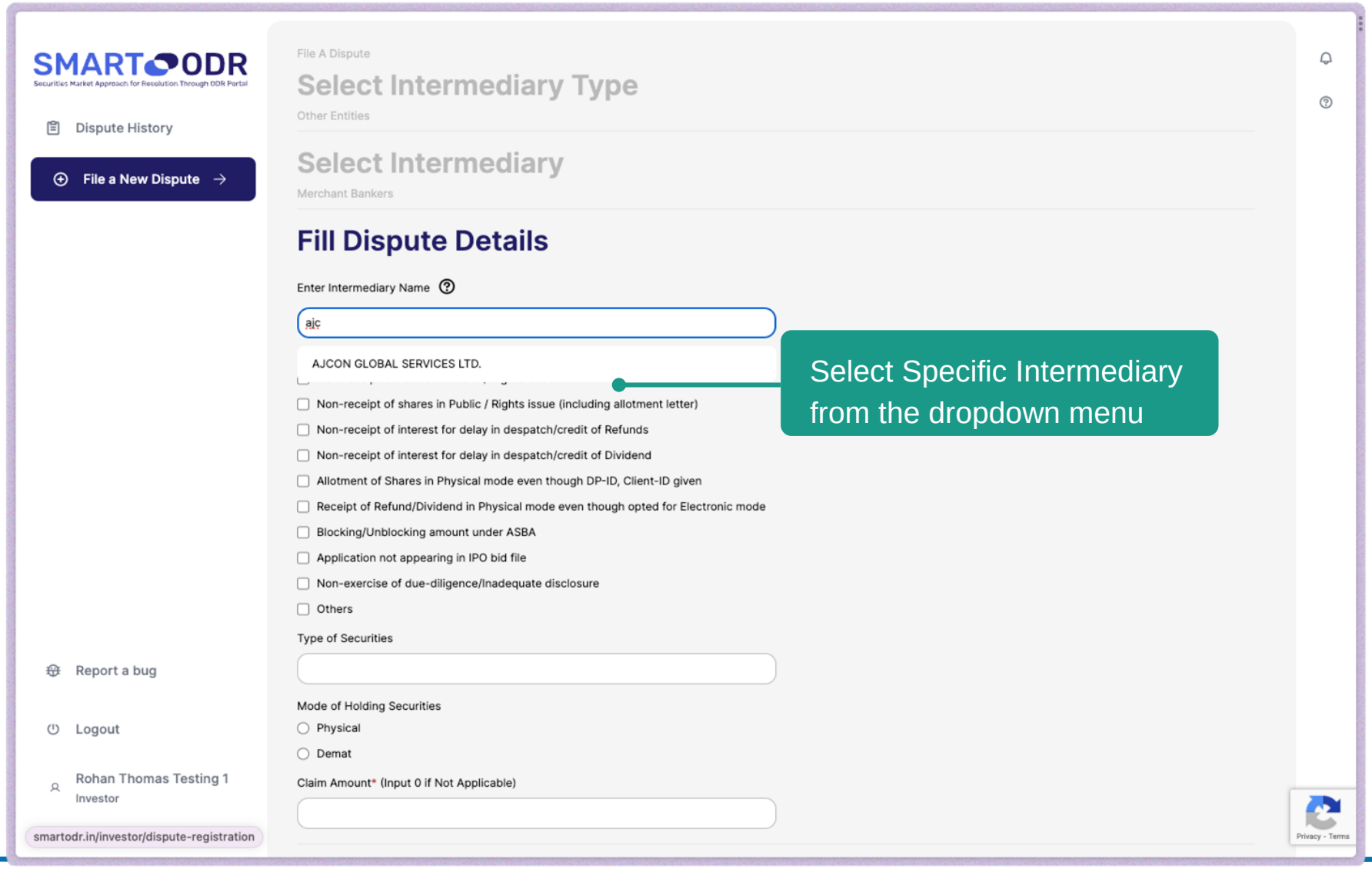
SMART ODR Process Flow



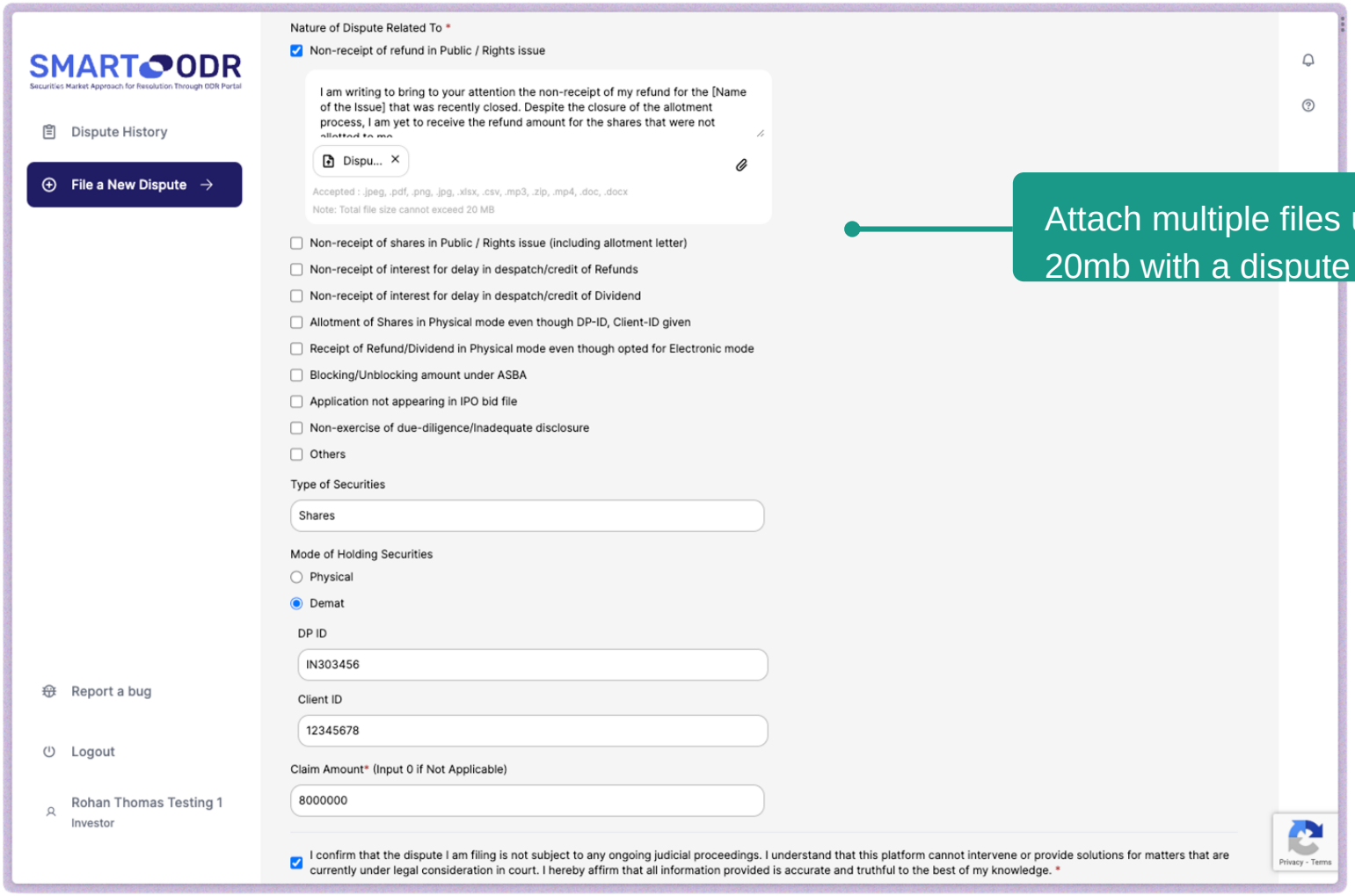
SMART ODR Process Flow



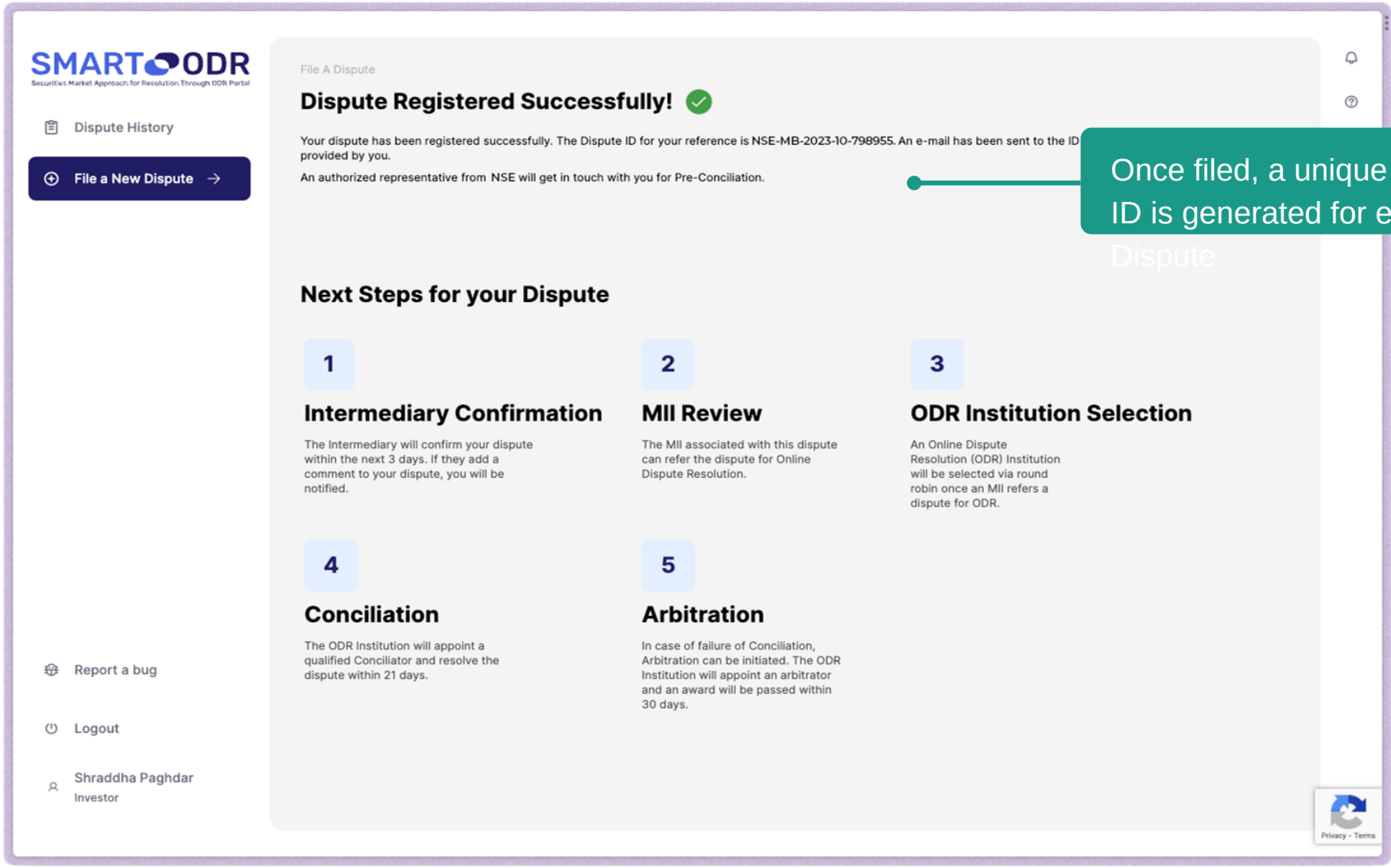
SMART ODR Process Flow



SMART ODR Process Flow

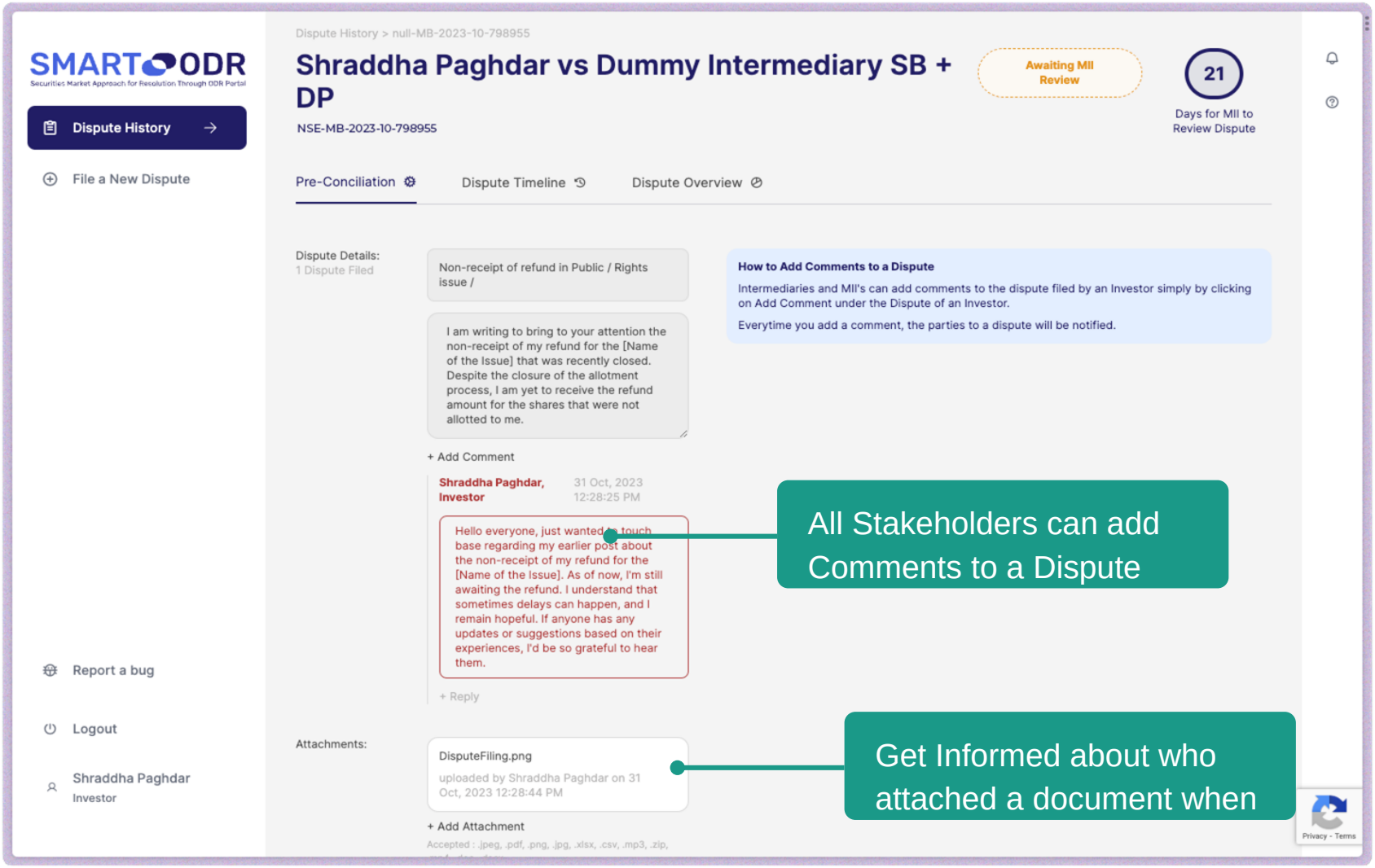


SMART ODR Process Flow

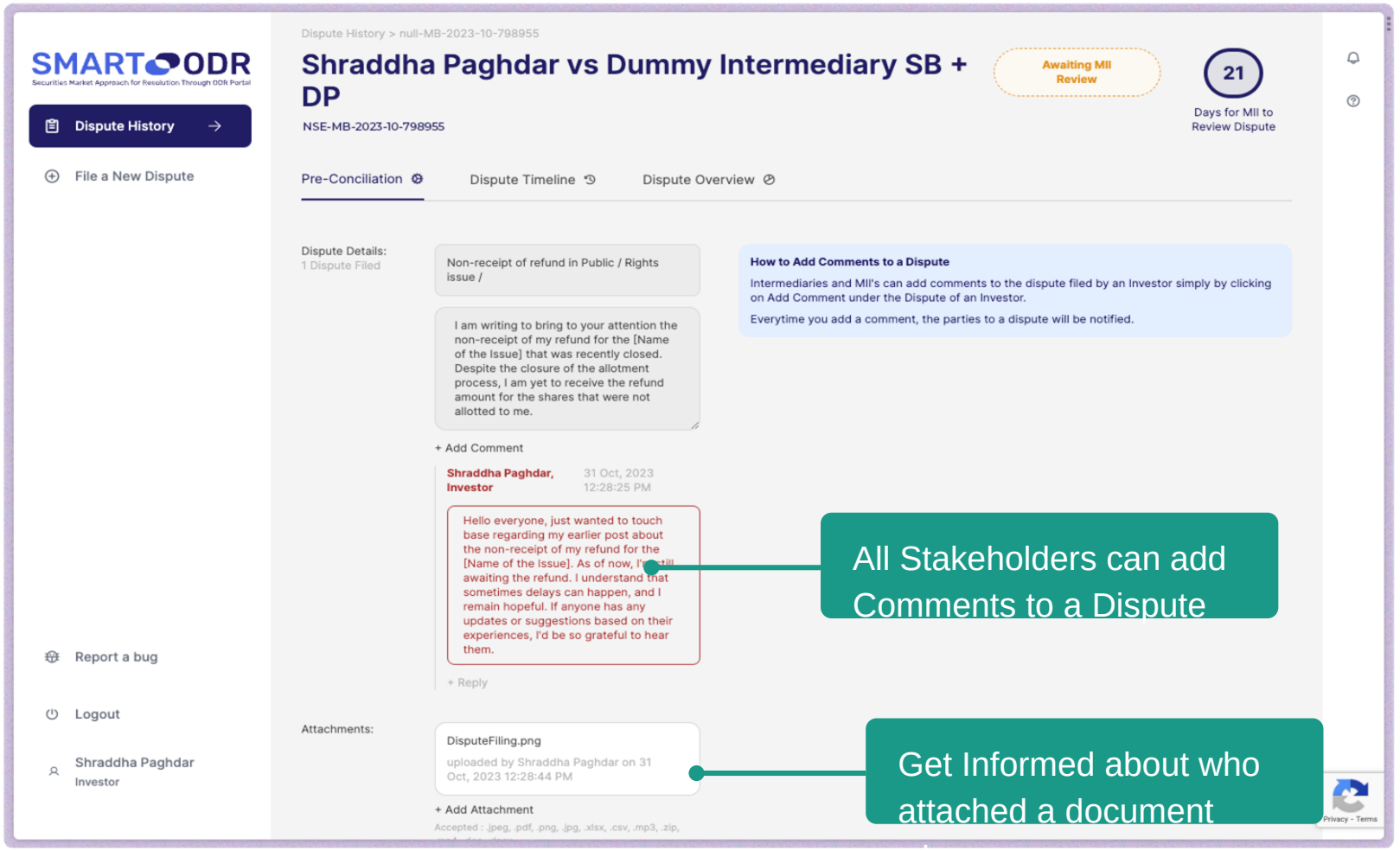


Once filed, a unique Dispute ID is generated for each Dispute

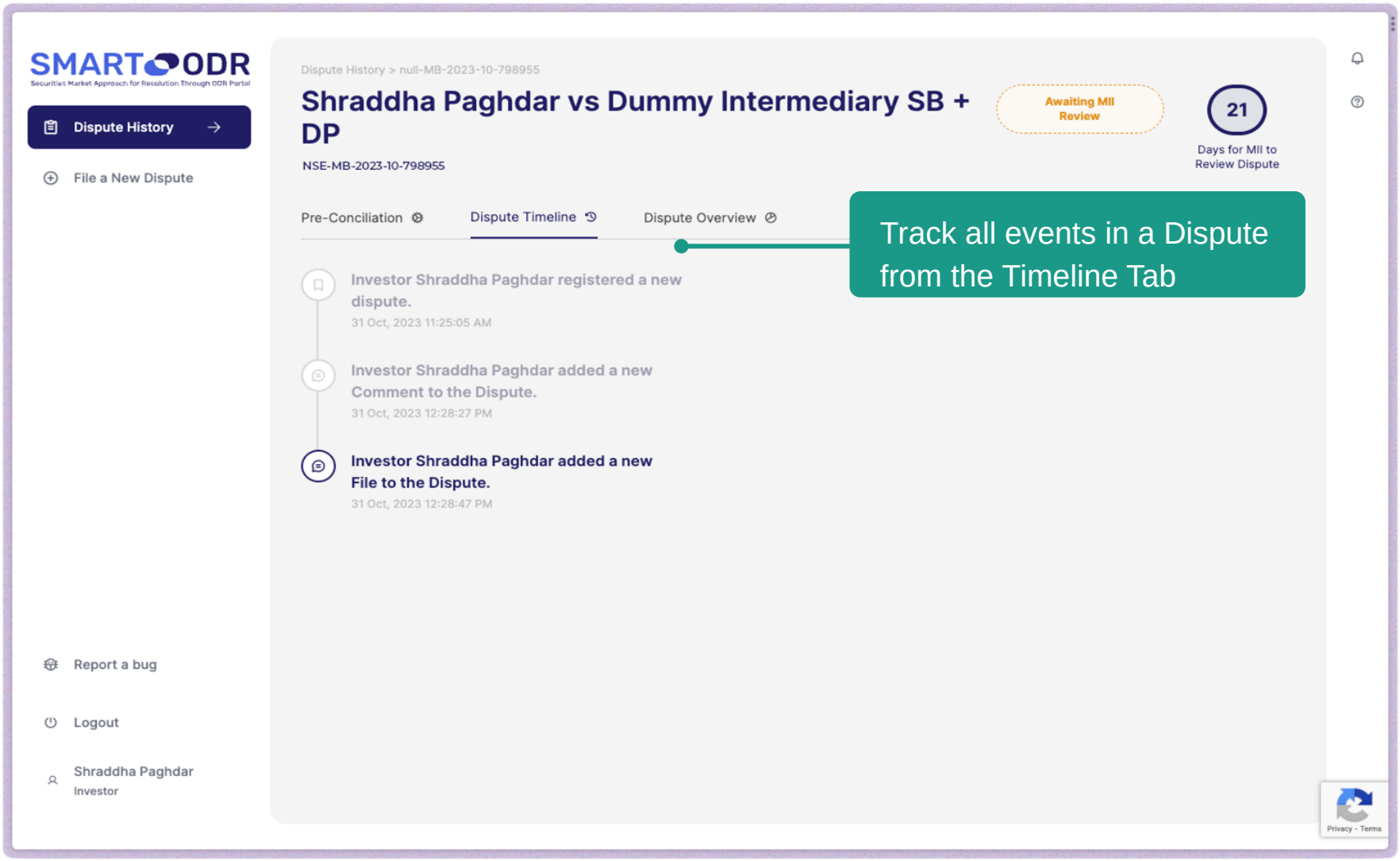
SMART ODR Process Flow



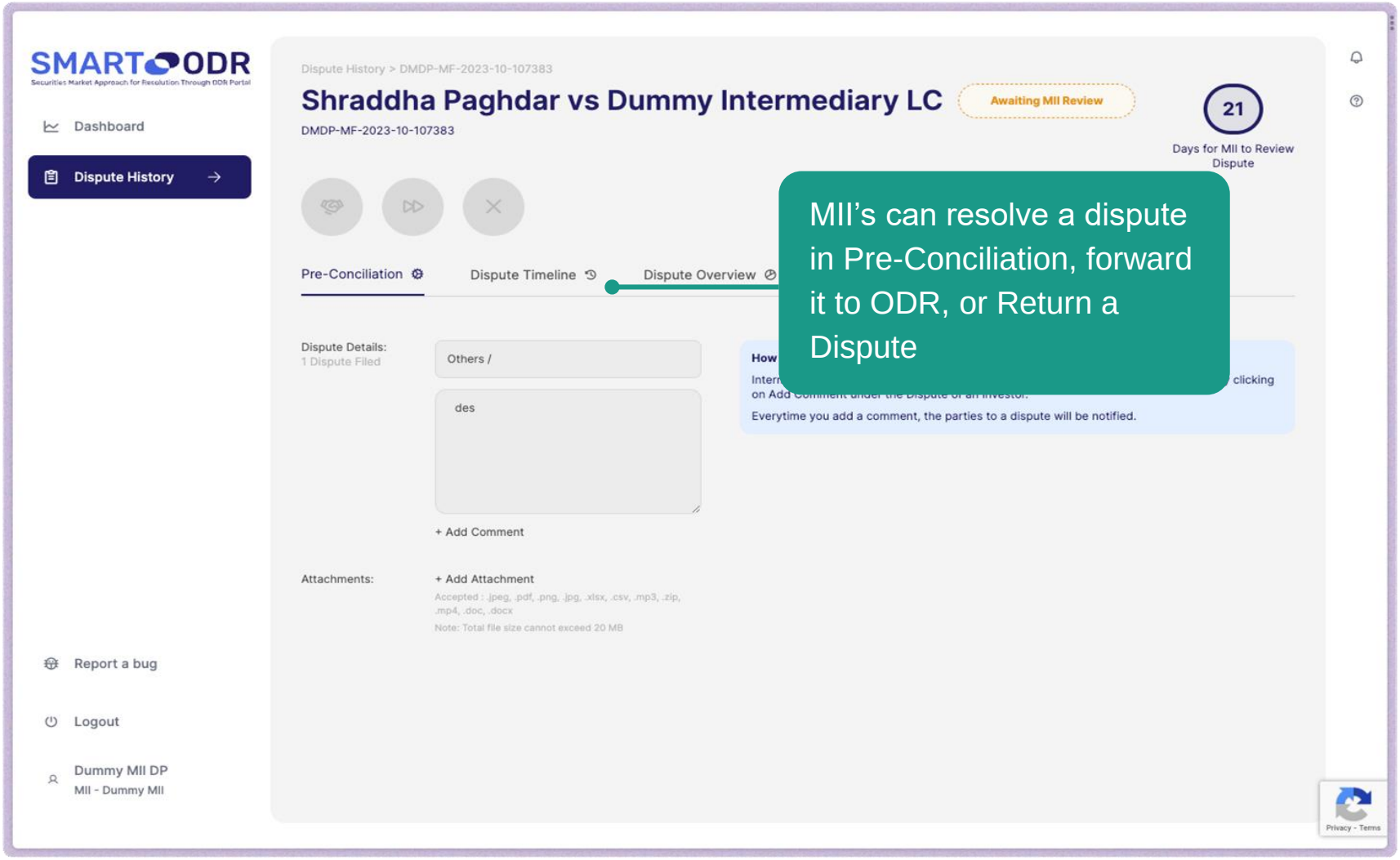
SMART ODR Process Flow



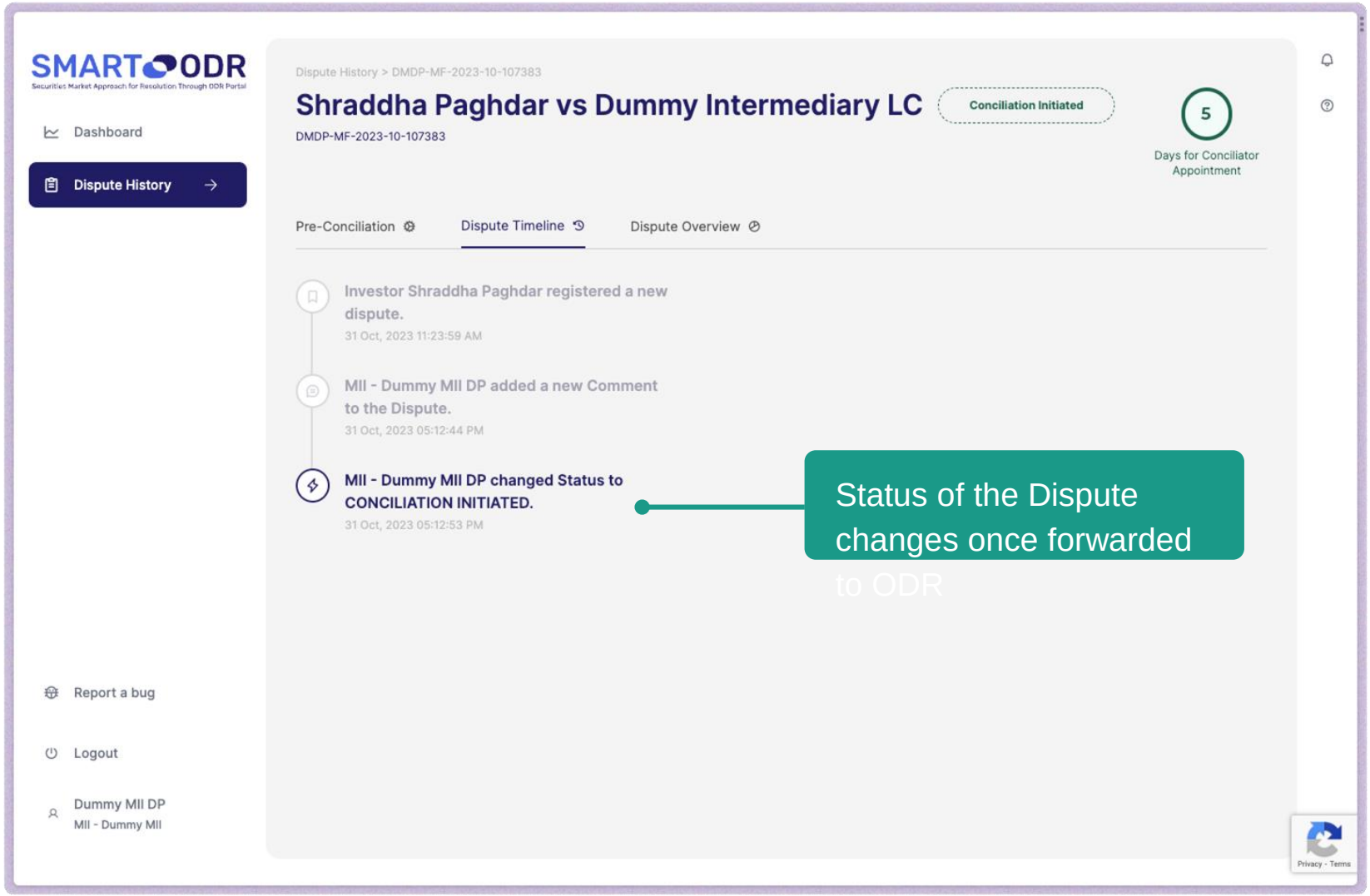
SMART ODR Process Flow



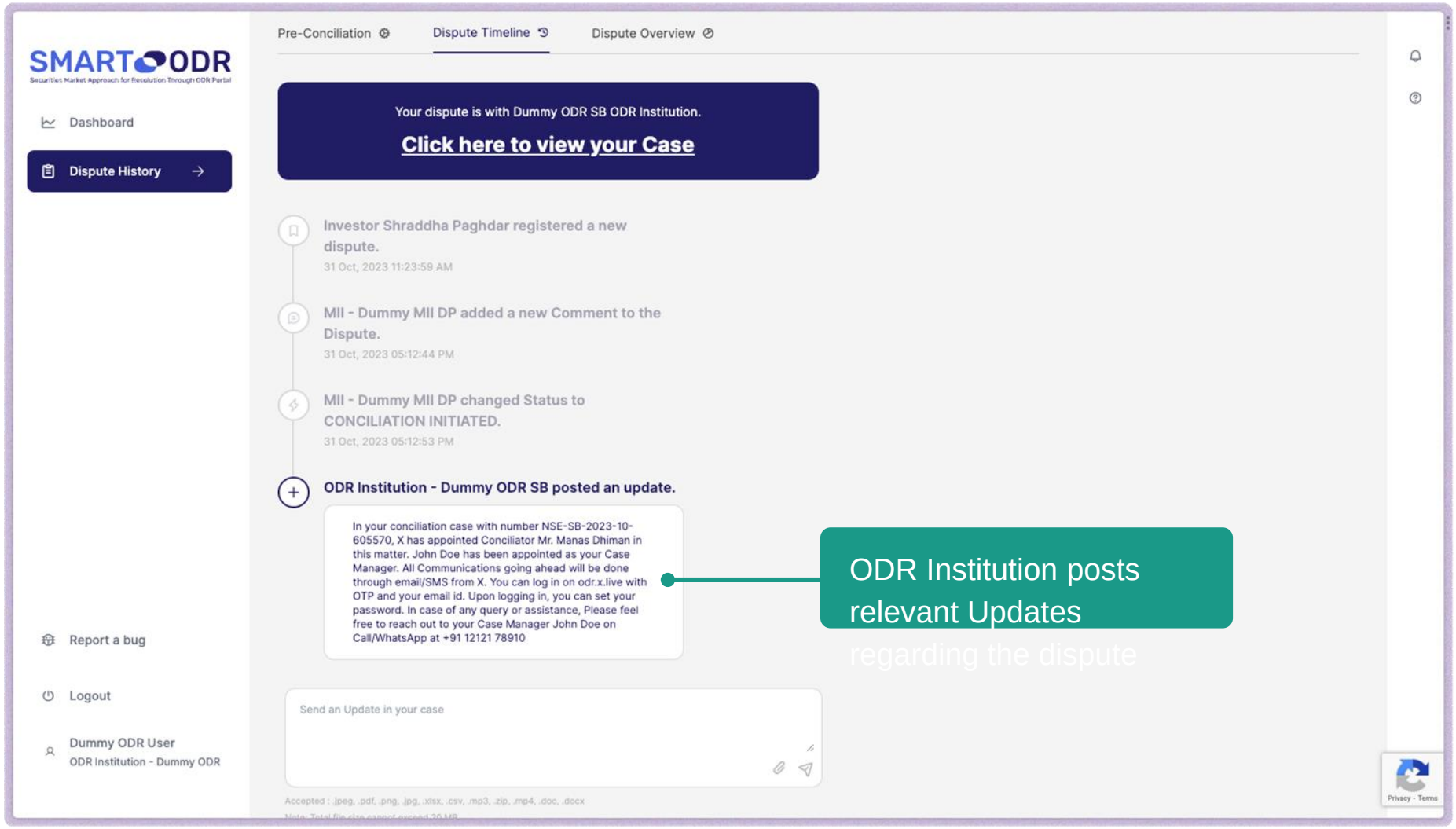
SMART ODR Process Flow



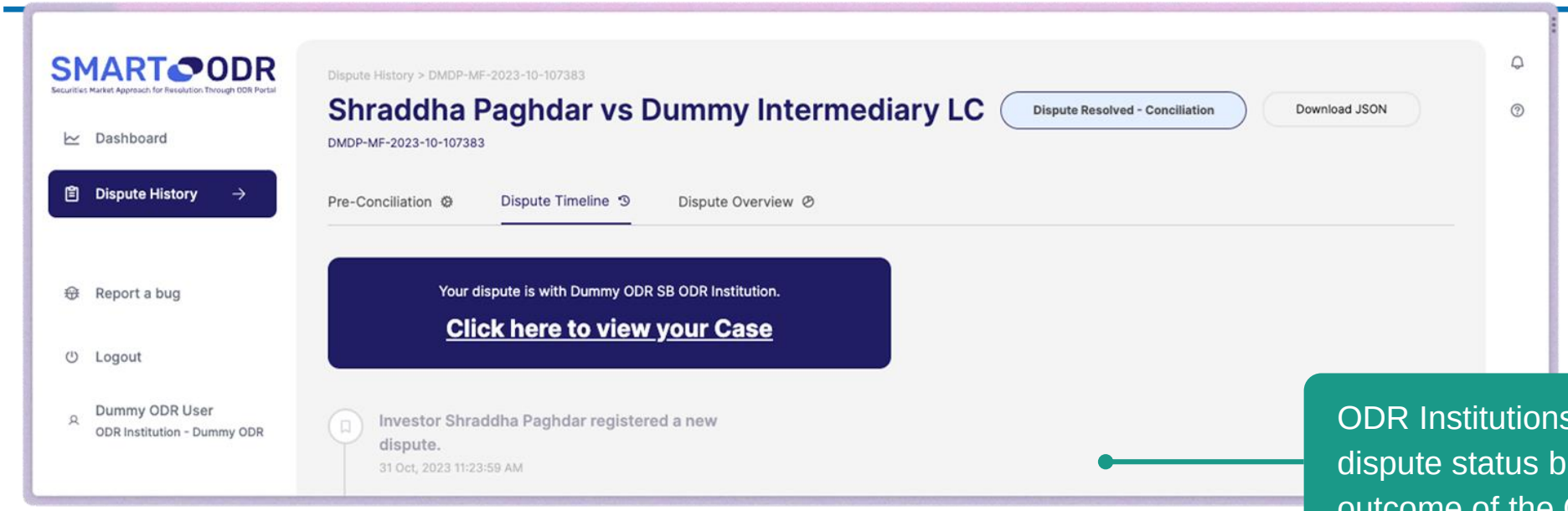
SMART ODR Process Flow



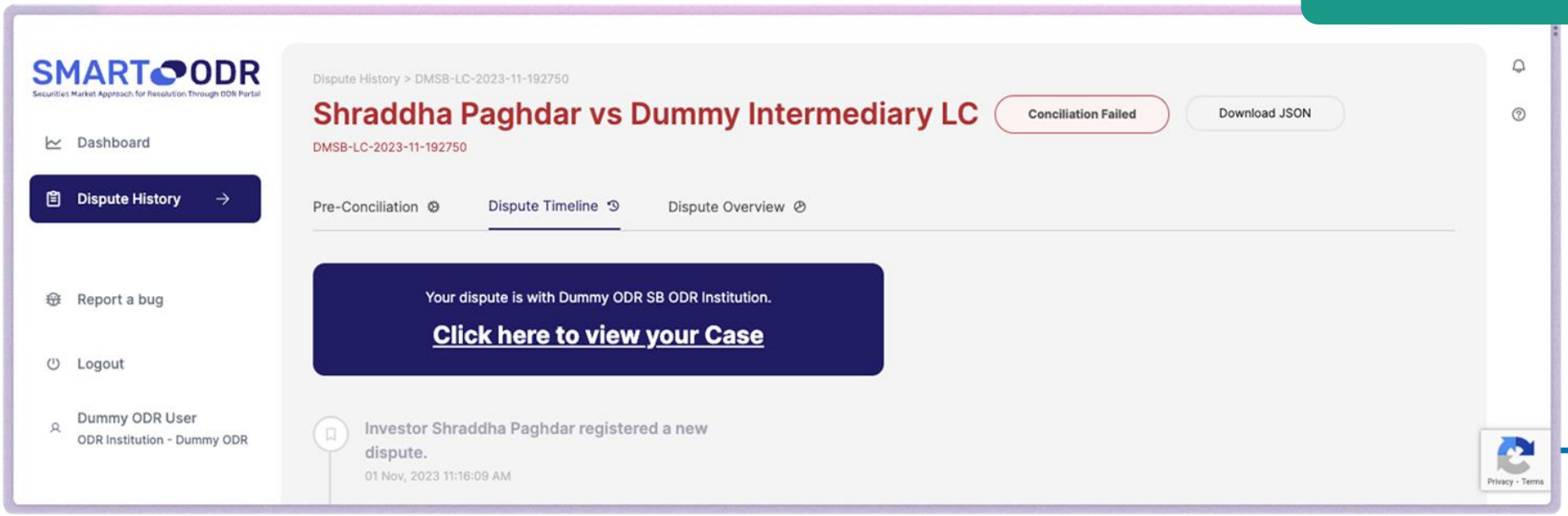
SMART ODR Process Flow



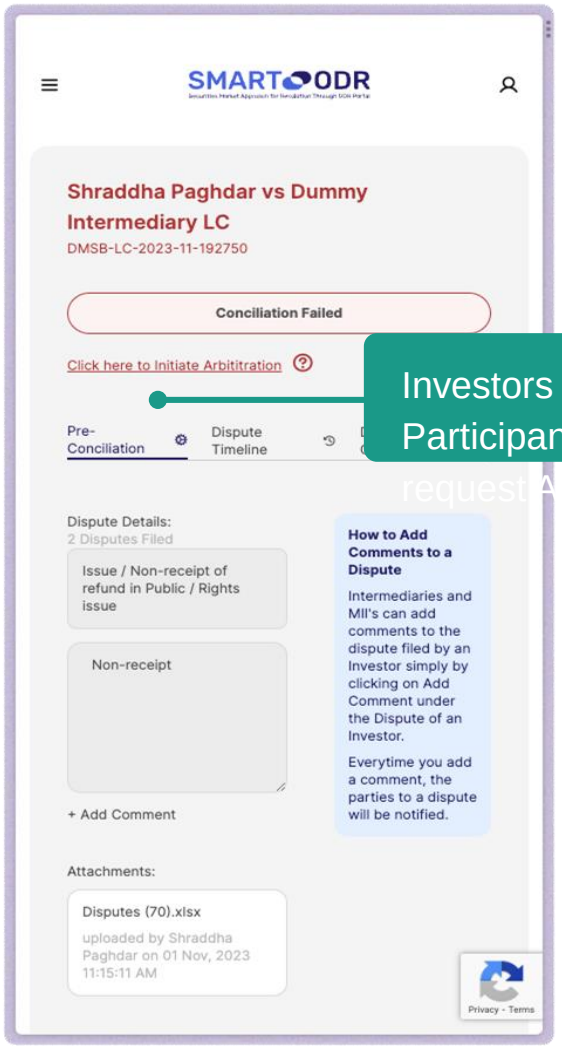
SMART ODR Process Flow



ODR Institutions can cha
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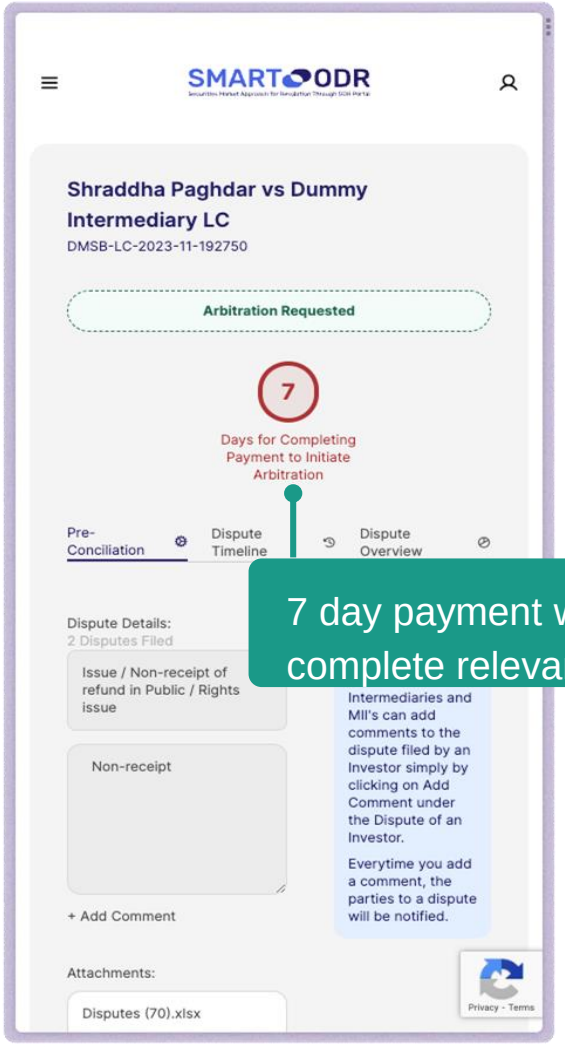


SMART ODR Process Flow



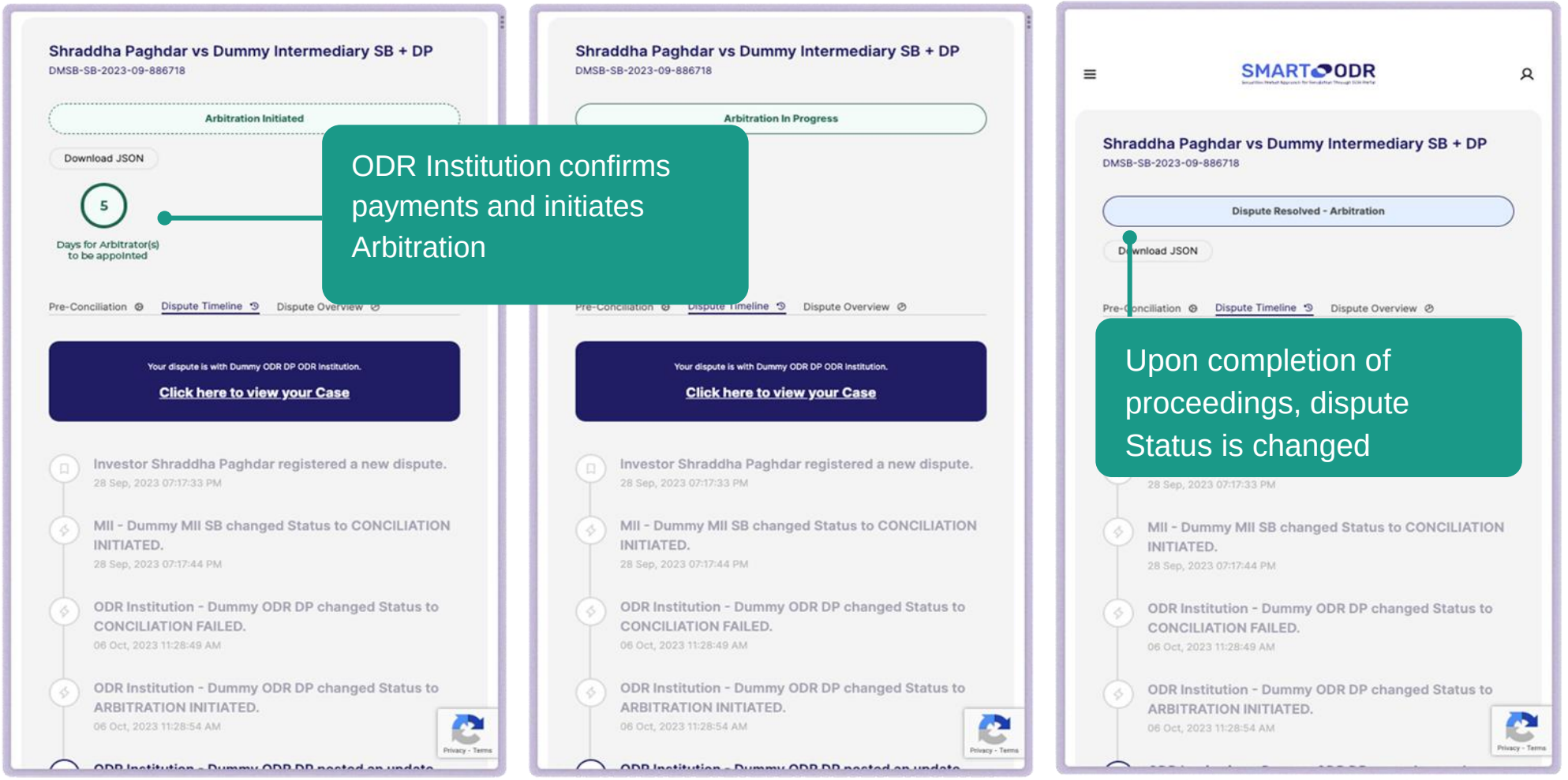
Investors / Market Participants have option to request Arbitration





7 day payment window to complete relevant payments

SMART ODR Process Flow



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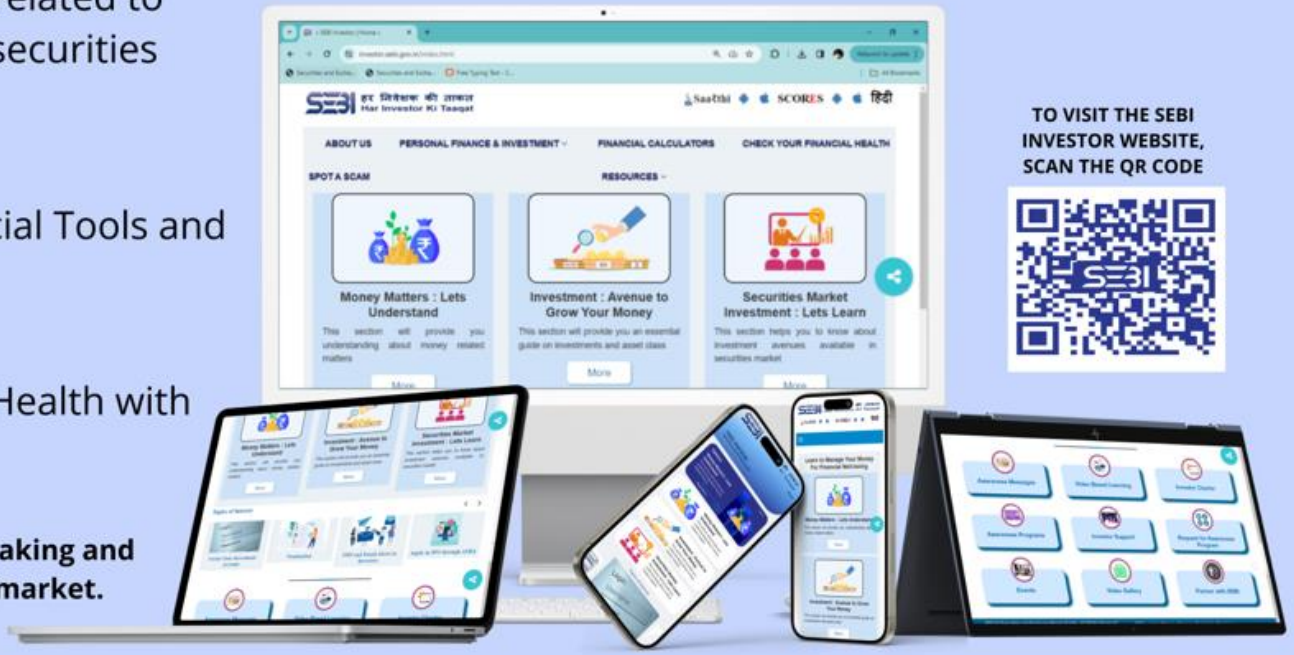
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